PRESS RELEASE

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இலங்கை மத்திய வங்கி
CENTRAL BANK OF SRI LANKA

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External Sector Performance – May 2026

TOTAL EXPORTS (Goods and Services)

USD 1,700 mn
13.4% ▲ in May 2026 (y-o-y)

USD 8,771 mn
3.8% ▲ in Jan-May 2026 (y-o-y)

Goods Exports

USD 1,224 mn
18.3% ▲ in May 2026 (y-o-y)

USD 5,759 mn
7.6% ▲ in Jan-May 2026 (y-o-y)

Services Exports

USD 475 mn
2.5% ▲ in May 2026 (y-o-y)

USD 3,012 mn
-2.9% ▼ in Jan-May 2026 (y-o-y)

TOURIST EARNINGS

USD 156 mn*
(Tourist arrivals: 145,745)
in May 2026

USD 1,360 mn
(Tourist arrivals: 1,022,022)
in Jan-May 2026

* Based on the revised methodology of Sri Lanka Tourism Development Authority.

MERCHANDISE TRADE DEFICIT

USD 968 mn
in May 2026

USD 4,661 mn
in Jan-May 2026

WORKERS' REMITTANCES **

USD 847 mn
in May 2026

USD 3,910 mn
in Jan-May 2026

** This may include other remittances, such as those received following Cyclone Ditwah.

GROSS OFFICIAL RESERVES ***

USD 6.9 bn
at end May 2026

Import Coverage
3.5 Months

*** This includes the swap facility with the People's Bank of China.

GOODS IMPORTS

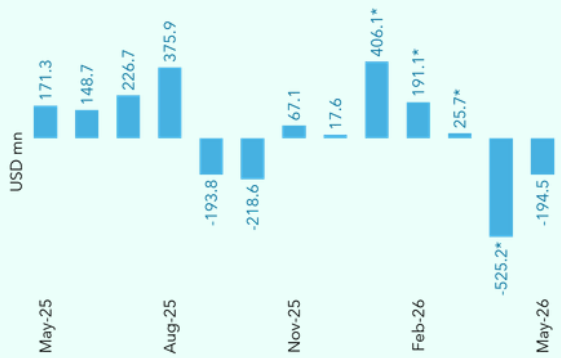
USD 2,192 mn
45.4% ▲ in May 2026 (y-o-y)

USD 10,420 mn
29.0% ▲ in Jan-May 2026 (y-o-y)

CURRENT ACCOUNT BALANCE

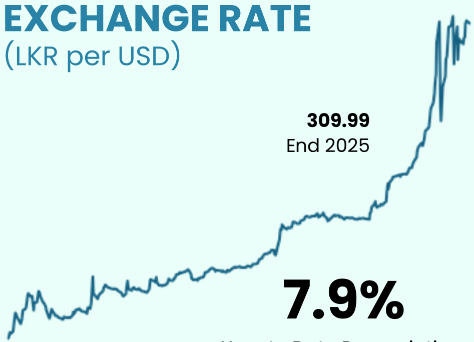
USD -194 mn
in May 2026

USD -97 mn
in Jan-May 2026



* Revised

EXCHANGE RATE (LKR per USD)



7.9%
Year to Date Depreciation at end June 2026

EXTERNAL SECTOR PERFORMANCE SUMMARY

May 2026

- The external sector performance continued to reflect the impact of the war in the Middle East, with the current account recording a deficit for the second consecutive month in May 2026.
- The external current account recorded a deficit of US$ 194 million in May 2026, mainly driven by the widened trade deficit, a moderation in the services surplus, despite an increase in workers' remittances compared to a year earlier. Consequently, the external current account deficit during January to May 2026 amounted to US$ 97 million.
- The merchandise trade deficit widened in May 2026, as import expenditure increased at a faster pace than export earnings. Consequently, the cumulative trade deficit widened to US$ 4.7 billion during January–May 2026, compared to US$ 2.7 billion in the corresponding period of 2025.
- Expenditure on fuel imports increased by 112% (year-on-year) to US$ 536 million in May 2026, driven by the increase in oil prices and volumes. However, on month-on-month basis, expenditure on fuel imports reduced by 39.5% in May 2026.
- Expenditure on motor vehicle imports, including both personal and commercial vehicles, increased by 20.0% (month-on-month) to US$ 250 million in May 2026, bringing the cumulative expenditure on motor vehicle imports to US$ 1,071 million during January–May 2026.
- The terms of trade deteriorated on a year-on-year basis in May 2026, as the increase in import prices outpaced the increase in export prices. Similarly, the terms of trade deteriorated during January–May 2026 compared to the corresponding period of the previous year.
- The surplus in the services account recorded a contraction of 36.8%, year-on-year, to US$ 143 million in May 2026, reflecting a higher growth in services outflows compared to inflows to the services account. The cumulative surplus also contracted by 20.8% during January to May 2026 compared to the corresponding period of 2025.
- Tourist arrivals recorded a year-on-year growth of 9.6% in May 2026, with total arrivals during the first five months of the year surpassing one million. Tourist earnings were estimated at US$ 156 million in May 2026, reflecting a year-on-year decline of 5.1%, and the cumulative earnings during first five months of 2026 declined by 11.9% amounting to US$ 1,360 million compared to the corresponding period of the previous year.[1]
- Workers' remittances,[2] which amounted to US$ 847 million in May 2026, continued the favourable trend observed in recent months. Cumulative remittances during the first five months of 2026 increased by 26.0%, year-on-year, to US$ 3.9 billion.
- Foreign investments in the government securities market recorded a net outflow of US$ 60 million, while foreign investments in the Colombo Stock Exchange (CSE), including both primary and secondary market transactions, recorded a net outflow of US$ 23 million during the month of May 2026.
- Gross official reserves (GOR), including the swap facility with the People's Bank of China (PBOC), stood at US$ 6.9 billion by end May 2026, supported by the receipt of the jointly disbursed sixth and seventh tranches under the Extended Fund Facility (EFF), despite sizeable external debt service payments and net foreign exchange sales by the Central Bank.
- As of end June 2026, the Sri Lanka rupee depreciated by 7.9% against the US dollar on a year-to-date basis, reflecting external sector pressures arising from the conflict in the Middle East. This depreciation is consistent with the currency depreciation trend that was observed in peer economies.

Detailed statistics are available in the Monthly External Sector Bulletin, and in the External Sector Statistics web pages in the CBSL website, which can be accessed through the following web links:

https://www.cbsl.gov.lk/en/external-sector-bulletin
https://www.cbsl.gov.lk/en/statistics/statistical-tables/external-sector

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[1] *The Sri Lanka Tourism Development Authority has revised the methodology of compiling monthly earnings from tourism estimates in May 2026 to enhance the accuracy and representativeness of such estimates incorporating country-specific data on tourist arrivals, average daily expenditure, and average duration of stay. The revised methodology has been applied retrospectively to monthly estimates from January 2026 onwards. Accordingly, monthly estimates on earnings from tourism for January – April 2026 have been revised.*

[2] *This may include other remittances, such as those received following Cyclone Ditwah.*

Summary of External Sector Performance (a)

Category	May 2025 (USD mn)	May 2026 (USD mn)	Change (%)	Jan - May 2025 (USD mn)	Jan - May 2026 (USD mn)	Change (%)
Current Account Balance[1]	171.3	-194.5		1,295.7	-96.7	
Trade Balance	-472.5	-967.9		-2,729.8	-4,660.6	
Merchandise Exports	1,034.7	1,224.3	18.3	5,350.3	5,759.4	7.6
Merchandise Imports	1,507.2	2,192.1	45.4	8,080.1	10,420.0	29.0
Services Account (net)	226.6	143.2	-36.8	1,814.8	1,436.8	-20.8
Services – Inflows	463.6	475.3	2.5	3,101.2	3,012.0	-2.9
of which,						
Tourist Earnings (b)	164.1	155.7	-5.1	1,543.1	1,360.0	-11.9
Sea and Air Transport Services	137.2	156.1	13.7	825.7	798.8	-3.3
Computer and IT/BPO services	85.4	66.7	-21.8	349.8	304.0	-12.9
Services – Outflows	236.9	332.0	40.1	1,286.4	1,575.2	22.5
of which,						
Travel Abroad	39.4	87.7	122.5	291.7	539.8	85.0
Sea and Air Transport Services	91.4	127.6	39.7	436.3	418.3	-4.1
Primary Income Account (net)	-211.5	-205.4		-825.0	-727.2	
Primary Income Account – Inflows	43.6	44.9	3.0	276.3	252.5	-8.6
Primary Income Account – Outflows	255.1	250.3	-1.9	1,101.3	979.8	-11.0
of which,						
Direct Investment related	114.5	124.9	9.1	472.3	438.2	-7.2
Portfolio Investment related	28.6	35.0	22.4	186.0	175.1	-5.8
Other Investment Interest	109.8	87.8	-20.0	431.2	355.7	-17.5
Secondary Income Account (net)	628.7	835.5	32.9	3,035.7	3,854.3	27.0
of which,						
Workers' Remittances – Inflows[2]	641.7	847.0	32.0	3,102.2	3,909.7	26.0
Personal Transfers – Outflows	13.2	11.9	-9.7	67.3	59.7	-11.3
Main Flows to the Financial Account						
Net Flows to the CSE (c)	0.7	-22.6		-32.5	-100.7	
Net Flows to the G-Sec. Market	1.4	-60.3		81.7	-52.1	
Change in Reserves (d)	-41.1	115.4		163.9	43.4	

Sources: Central Bank of Sri Lanka (CBSL), Sri Lanka Customs (SLC), Sri Lanka Tourism Development Authority (SLTDA), Colombo Stock Exchange (CSE)

(a) Provisional

(b) The Sri Lanka Tourism Development Authority has revised the methodology of compiling monthly earnings from tourism estimates in May 2026 to enhance the accuracy and representativeness of such estimates incorporating country-specific data on tourist arrivals, average daily expenditure, and average duration of stay. The revised methodology has been applied retrospectively to monthly estimates from January 2026 onwards. Accordingly, monthly estimates on earnings from tourism for January – April 2026 have been revised.

(c) Includes primary and secondary transactions

(d) Includes valuation changes that impact reserve asset position

[1] *The monthly current account data for Jan-Mar 2026 have been revised following the finalisation of estimates for the first quarter of 2026. The data for the second quarter of 2026 will be revised by end September 2026, upon the finalisation of the respective quarterly estimates.*

[2] *This may include other remittances, such as those received following Cyclone Ditwah.*